



ZOETIS Inc. | BofA Securities 2025 Global Agriculture & Materials Conference | February 27, 2025

Wetteny Joseph:

Ladies and gentlemen, the program is about to begin. At this time it is my pleasure to turn the program over to your host, Michael Riskin.

Michael Riskin:

Great. Thanks so much for joining us everyone. My name is Mike Riskin on the Bank of America Life Science Tools and Diagnostics team, also covering animal health. We're excited to have joining us for our next session Wetteny Joseph, CFO of Zoetis. Wetteny, thanks so much for being here.

Wetteny Joseph:

Thanks for having me, Mike.

Michael Riskin:

We'll use the same format we've done for the others, it'll be fireside chat. If you've got questions, please don't hesitate to submit them via the Vericast portal, easiest way to flag to my attention. Wetteny, just to kick things off, standard opening question. You guys reported four key results kicked off '25 guidance a little bit earlier this month. You sort of run down key talking points. What stood out to you from the quarter and what are the key things to keep in mind for 2025?

Wetteny Joseph:

Yeah, look, I think if you look at 2024, it was an outstanding year for us and the fourth quarter was equally outstanding. The underlying demand that we see across our portfolio, starting with our Companion Animal portfolio, drove what you saw as a growth-based growth for us and double-digit growth across all of the three main key franchise areas and double-digit volume growth as well for them. So clearly the main picture is strong for us across the landscape. And the fourth quarter that we printed 6% operational growth. Keep in mind a couple of things. One, we had the MFA divestiture. Without that, the six becomes nine, and then we had two big launches in the U.S in Companion Animal, both Librela and Apoquel Chew. Without those, you have a number that lands you somewhere between 10 and a half and 11.

So it really was the same quarter as we had all year, if you will, and that gives us momentum as we exit '24 into 2025. And really we are at a stage where we're very happy and excited to share not only our confidence in our existing franchises and what's left, which is significant more room, but also excitement around our pipeline, which we unveiled last month in a different conference around just how much more we have in our confidence to launch or at least get a significant approval each of the next several years. I think that's a really nice setup for us as we look ahead.

Michael Riskin:

Okay, that's a great overview. Let's dive in a little bit deeper on some of these topics. So first Librela, I think no surprise, that's where a lot of our questions come in. Maybe just to kick things off, you recently had the Dear event letter update to the label that came with that. You finalized those label updates you announced the other day and sort of they've been locked in. Do you expect any additional changes from going forward from here, or is this sort of, "That's it, we can stop talking about the label and it is what it is?"

Wetteny Joseph:

Look, it's great to have the label finalized. As we've talked about before, it's not uncommon to see label updates within the first couple years of our product launch. And certainly we expect it to have label updates and we've had them in other markets as well across our international offerings in Canada, UK, Switzerland, and so forth. So having a label update here in the US was certainly not unexpected and it's in line with what we expected, which is great. So it's good to have it finalized and have the official approval from the FDA. It's not that if label changes can't happen any other time during the product lifecycle, but it tends to happen more consistently within the first couple of years. And in terms of what this has done, the finality on that is great because it creates that for our vets and our field force, quite frankly, who've had a lot more discussion around well adverse events that are on this label versus that one etc.

And now that's effectively behind us and has been received, well received from our customers in consistence with what we told them to expect. The great thing about this for me is really if you go back, we launched the Librela and Solensia in our international markets before the US and it took us some time to get to the point now where we have two-thirds of our [inaudible 00:04:16] to mild cases and we want to accelerate that in the US. And clearly over the last year, given the amount of attention that has been made to the ease and the label, that has kept us from having a hundred percent of our focus on driving that acceleration, which we wanted to do. And I think this is a nice pivot point to drive that even more holistically as we go forward.

Michael Riskin:

Maybe following up on those points, you just talked about what you've been able to do in Europe in terms of moving from severe to more moderate how you're doing that in the US. Any impact on that from either the vet letter, the Dear Vet letter, or just some of the sentiment and commentary in the news over the last, I think almost a year now is when the headlines really started hitting last year. I think it peaked in the April May timeframe, but just sort of what do you think the impact of that has been on ability to shift from severe to moderate?

Wetteny Joseph:

Well, I think certainly the question is this one sort of flow that happens naturally as we've seen and clearly we're doing a lot of education of vets and pet owners throughout this, but it took some time, as I just said, to make that transition in our international markets and in Europe, our intention was to drive that faster here. So while I can't sit here Mike and say this is the exact impact of all of that noise in terms of what would've otherwise happened, but what we would have had a hundred percent of our focus driving and influencing was having to spend more time with vets to educate them on here's the label, here's what we're actually seeing in the data, here's why we're very confident in the safety and efficacy of the product, here are the rates that we're seeing, and they're all using the EMA classification rare in every classification.

So spending that time, which was important, is also time that would've otherwise been spent just driving our agenda, if you will. And so I think that you have to argue has had some sort of impact, even though we can't quantify it per se. And again, this is really I think a great pivot point, if you will, to drive that inflection from here forward.

Michael Riskin:

Now that you've had a little over a year on the market, how are you thinking about the efficacy of your vet education? And what I mean by that is we've always sort of debated how much Dear Vet letters matter. We've debated how much labels matter in animal health because a lot of vets just don't pay the same attention to it. So you're implementing steps, you're doing webinars, you're doing office hours to educate vets. Is that having a payoff? Are you able to deliver the message you're going for in terms of impacting their behavior?

Wetteny Joseph:

Absolutely. Look, there are vet to vet conversations that are happening throughout, and I want to just make one point these areas that we've talked about that we've highlighted, having office hours and so forth, they're incremental to what we normally do, but they're not net new. These are all areas that we always spend a lot of time on when we build a market, and we certainly have a track record of doing that as a company time and time again. So we know what it takes. We know the education, we know what it takes to get the product into clinics. And the great thing is, in the case of Librela, it's a record speed of getting the product into as many clinics as we have. We're talking about 85% plus penetration.

That is a great fertile ground for us to then drive the education for incrementally what type of cases do you use this in, how do you go from more severe to more moderate, etc. That work is always work that we do in any product that we launch and how we build those markets over time. We now have a real great ground basis to do that from. It's just that we've had this other piece on the label that has taken more attention and now we can move that behind us and forge ahead there.

Michael Riskin:

So how do we think about further growth from current levels for Librela? You talked about double digits for your growth products in 2025, but I'm just thinking about you just flag the clinic penetration, you flag the expansion from severe to more moderate cases. What's going to drive further adoption of this? Where do you see the opportunity, because you're talking about a long-term potential for Librela that's still significantly bigger than where we are now from a dollar's basis. So talk me through the untapped parts of the market today?

Wetteny Joseph:

I'd love to. So look, here's how I look at the OA pain and then we'll hone in on Librela specifically in 2024, our global revenues for OA pain, were approaching 600 million. We said in 2023, we would see the OA pain franchise being north of a billion in three to five years. So clearly we're well on our way there. We're more than halfway, despite all the conversation around how well this launch has been a very successful launch in the US. Now let me just sort of break it down a little bit on the opportunity that we see in terms of Librela for the US. I know this is a global opportunity, but let me hone in on this.

In the US you have in terms of medicalized dogs with OA, it's about 27 million. Only nine are currently being treated and Librela is treating just over 1 million of those. So if you just take a look at those that are being treated, the 8 million are largely on NSAIDs, and Librela has 1.1 million as we exit 2024. That 1.1 million, we locked in at \$201 million of revenues from that. That's because you have more months on therapy when you're on a product like Librela-

Wetteny Joseph:

That's because you have more months on therapy when you're on a product like Librela because the safety profile is so much better than an NSAID that, as you convert from those eight million to more going on to Librela, that by itself is a massive opportunity. Again, 1.1 million out of the [inaudible 00:10:18]. And that's not even addressing the rest of the 27 million who are not on treatments at all. And by the way, just as a reminder, what we quoted in Europe after sort of the second year or so was that about 40% of the cases were new to the category, which means they weren't on NSAIDs, they weren't being treated at all. So if you follow that math to the US and you look at the size of this opportunity here, if you want to use a baseball analogy, we're literally in the first inning. There is tremendous more opportunity. And I didn't even talk about Solensia. I'm just talking here in terms of Librela.

So this is a huge market opportunity with many years of growth to come, including Librela is an important product across our portfolio and we haven't even been talking about the rest of the portfolio, which has significant more room as well. So I think the size of the opportunity here is undeniable. The question is how fast are you going to get there? But certainly it's going to take years to continue to drive this. And we've seen this play out in other places where we're talking about significant growth a decade after we launched a product and created a market.

Michael Riskin:

That's really useful color. Appreciate that. So thinking about that 1.1 million versus the 9 million in the US, you mentioned NSAIDs and not a lot of that is remedial or other carprofens, maybe gabapentin's in there as well. How do you get that 1.1 higher? So what are the levers you're talking about? Because, like you said, you already are in a majority of the clinics. People know the product. Is it more familiarity with it, more time with it? And I'd also say, is that entire nine million achievable for Librela over time? You kind of see there's always going to be some that are going to stick with NSAIDs for various reasons.

Wetteny Joseph:

Sure.

Michael Riskin:

So what is a realistic ceiling there and what are the key levers to get there?

Wetteny Joseph:

Look, this is not new territory for us. We have done this time and time again. These are very different therapeutic categories, different prevalence, et cetera. But if you look at Durham for example, in the US we're treating north of six million, call it six and a half million. There's about three million that are on steroids. So I won't sit here today and say we're going to take all the remaining eight million and move them to Librela in this case, but there's a tremendous opportunity here.

Along the way, we'll have things like head-to-head studies that show the safety profile of Librela versus an NSAID or a generic carprofen which, by the way, is where we see a significant portion of that one million coming from, et cetera. So there are lots of tools in our arsenal that we have proven that have worked before to drive the market growth that we'll continue to. And as those come through, you'll continue to see more and more utilization out of those clinics that have the product already.

Michael Riskin:

Okay. And if you think about, you mentioned Europe as well, obviously you have a little bit of a head start there, still see long opportunity there as well. Other geographies that we should be mindful of where you're expanding? Because, historically, that's been a pretty important driver of growth for other products. When you think about Durham or [inaudible 00:13:39], you do have a little bit of a cascade as you expand to other geographies. So remind us, on the international footprint, where else do you have as catalyst for Librela?

Wetteny Joseph:

Yeah, look, we see opportunity around the world. Librela has been approved now in over 50 countries. Of course, the level of how far we are on the launch, it varies depending on when we launch them. Europe is furthest ahead. We now have gotten to the point where you are seven to eight months on therapy. So when we talked about the eight million that are on NSAIDs, NSAIDs typically are going to have one to two months, call it, of use. Whereas you can be on Librela for much longer obviously. So there's massive amount of expansion of the market that will take place and clearly across the different markets around the world, as far as two-thirds as we are, and plus there'll be other markets. Now, of course, the biggest markets already have the product in terms of approvals and launches, but there's still more to go and certainly a lot more in terms of penetration to go around in terms of utilization across those markets.

Michael Riskin:

And then for 2025 specifically, I think we've debated a lot, obviously, the quarter-to-quarter fluctuations in Librela. I thought you had a really good slide a couple of months ago where you showed site of point historically, you're also going to have variability there. Going forward, what do we expect from you for Librela for 2025 in terms of the level of detail you provide, the level of commentary? I just want to make sure we're thinking about this appropriately so people aren't surprised on the one-key call.

Wetteny Joseph:

Look, we are very confident in how '25 is set up for us here and we expect to have sustainable growth across our core franchises. And that's why we said, hey, look, this is not a company that's just dependent on one product. We've demonstrated that time and time again. We have our major franchises that are growing double digits for us in 2024. We expect them to grow double digits in 2025. While as important as Librela is, we're not entirely dependent on what happens with Librela. This is why we want to continue to drive this. We're very excited about the opportunity for Librela certainly, but it's the broader portfolio that we have that's going to continue to drive us and we're excited about new product cycles to come as well as we sit here coming.

Now, we said sequential quarter growth is not a metric that we track in terms of gauging success of a launch. That remains the case. One thing I would say about the US versus international, we spent some time talking about that here, in terms of how much penetration you have into the moderate to mild cases. That does drive a difference, though. If you think about it, when you have more severe cases that are older who will not be on the product for other reasons for a lot longer, then you're going to have to replace more of your patient base before you can grow. You could have the same number of patients in the US that you do internationally and see more growth just because you're not replacing as many in international as you're replacing in the US just by virtue of that.

So that is going to drive a little bit more, shall I say, lumpiness around this, which is showing itself in terms of the sequential. I don't think I need to repeat just how big of an opportunity we

have here in terms of driving this, but I think a key transition is going to be following what happened in Europe to move more and more into moderate to mild cases.

Michael Riskin:

Okay. I want to make sure we cover all the bases. So let's touch on a couple of the other key franchises. Let's go to Durham, I mean a market that you've been dominant in for years and years and years. You're starting to see competition for the first time ever. So you've got Librela. It's been on the market for a little bit. We're expecting another competitor at some point this summer, mid-2025, from Merck. How much have you built into your assumptions from competition? And more broadly, how do you think about competition for Durham and what strategy do you have in place to mitigate any potential impact?

Wetteny Joseph:

Look, we've been at this for some time and, as you said, we've been in Durham, I don't use the word dominate, but we like our position both in terms of the number of years we've been in this market, the level of satisfaction our customers have in the efficacy and safety of this product and the multiple products that we have in our arsenal to meet different needs of our customers. You can have a film-coated tablet with Apoquel. You can have a chewable with Apoquel Chew. You can have Cytopoint, which is an injection, 30-day or monthly injection if you will. So we have more tools in our arsenal because we've been in this market for so long, and that puts us in a great position as competition comes.

Beyond here, even before I get into competition, this is not a zero-sum game around a market that's mature. We're talking about a market that still has more medicalized dogs that are either untreated or on some sort of steroid, more of those than we're treating today. So that, to me, by definition is not a mature market because you have plenty more room to grow. And so I think before I get into the premise of the question around competition, it's that we think there's so much more to expand this market, that this is a nice sort of opportunity for the industry. And certainly we have a massive lead here, which should accrue to our benefit as that expansion unfolds.

So do we factor into our guidance, as we always do if we expect some competition to come in at some point, we want to make sure that we're able to look at what that label looks like. We don't expect to have substantial differentiation against our product. And by the way, just to sort of prove the point around how important it is the level of satisfaction our customers have, we have an Apoquel product that's been in market for 11-plus years. We launched Apoquel Chew and our vet clients are saying, "Look, we're so happy with this product. We don't really see a reason to change from Apoquel to Apoquel Chew." So I do think that's really important for folks to sort of appreciate what that means in terms of what a competitor with a completely different-

Wetteny Joseph:

... sheets. What that means in terms of what a competitor with a completely different product is going to have, but nonetheless, we're very confident in our ability to continue to grow and drive the expansion of this market beyond competition, but we do factor some scenarios in our guidance for any given year when that competitive launch will go out because in the short term, we can have some motivations that the competitor is going to offer to a customer just to take the product on. Because otherwise, like I said, even switching from Apoquel to Apoquel Chew is somewhat of a challenge; just imagine. So to do that, they're going to give some incentives sort of short-term, but long term we expect to be able to continue to drive this, which is why we exercise that discipline, but we factor that into our guidance for the year in terms of what we expect.

Michael Riskin:

Okay. So there's a little bit of a buffer built in or maybe some assumptions around both Zenrelia and the Merck product.

Wetteny Joseph:

We always do that in terms of what we expect from competition, not just for one category, but across products.

Michael Riskin:

And to your point on stocking dynamics and maybe initial pricing, I remember this was a lively debate when NexGard Plus first got approved, because there was some really weird moves with inventory. And the first six months, even before and after launch, a lot of volatility, but then it kind of seemed to shake out because again, like you said, it's introductory pricing, it's introductory stocking, and then once normalized, it becomes a little bit more of a rational market, so maybe some near-term volatility-

Wetteny Joseph:

We-

Michael Riskin:

... but yeah.

Wetteny Joseph:

We've seen this movie many times and we... Look, the other thing I would say is to the example you just gave when it settled out what happened, Trio grew 25% in that year, in that first year of competition. Again, I'm not saying that's exactly what's going to happen in the case of... What I'm saying is there is a level of confidence that you have in terms of how this is going to drive the first mover advantage that you have, the satisfaction levels, the multiple products that we know will be able to continue to drive growth in terms of leading the way in this therapeutic category.

Michael Riskin:

Okay, great. And then just to throw it in while we're on derm, the other part is obviously Cytopoint. Some of your competitors have also said they've got IL-31 antibodies coming out. Until we know more, our base case assumption is, like you said, there's not going to be significant differentiation, and they'll be relatively similar to Cytopoint, but one of the levers you do have in your position on derm is you have Apoquel and Apoquel tablet, Apoquel chewable, and Cytopoint, so you've got that sort of multifaceted approach. If someone else was to have multiple arrows in the quiver, does that change anything? What would be your counter to that?

Wetteny Joseph:

Look, I don't think that changes anything in any significant way, not to be arrogant about it. I do think it matters how long these products have been in and what level of satisfaction customers have. So a [inaudible 00:23:06] product that's not significantly differentiated, will they be coming into a market that has substantially more opportunity? Will they be putting dollars behind DTC

that drives more awareness and more patients coming into the clinic asking for these solutions? Yes. Will they grow? Probably. Will we also grow? Yes.

And so I do think that there's enough room to expand these markets, which is why you see, and you gave the reference earlier as well in terms of what happened after the launches on the parasiticide side for all flea and tick products. This is the thing that is very different from human health to animal health, which is these markets are still very young and there's still significant medicalization and medical intensity to drive this market. And as others come into this, unless they're significantly differentiated, you don't see a switch. And so the question is how much more awareness do you drive? Do you drive the expansion even faster than one player does when you have multiple players? And that's what we're seeing play out.

Michael Riskin:

I think another point to add there would be that competitors are often flagging what new products they have and what they're working on. You're not necessarily telling us all the offsets you have, so if it is a year out, maybe there's something in your pipeline that's there as a defensive move.

On that point, you've given a little bit more visibility into your pipeline recently than you have in the past. As you said earlier this year, you had that useful slide on 12 to 18 months, 18 to 36 months, or what's in the pipeline, what you're working on. A lot of products there. Anything in particular that you want to flag as what you're most excited about? What are the bigger categories? What are the bigger opportunities?

Wetteny Joseph:

Yeah, Mike, absolutely. We're very excited what we have in our pipeline. I would say before I even jump to that, and not to be repetitive, because covered a bit on what's left in [inaudible 00:25:10], which is a massive amount of opportunity. We talk about what's left in derm, 20 million globally. And then let's talk about parasiticides, where you still have about a third of the market in triples, but triples are over 50% of puppies, so significantly more room to expand as you think about where the market is going there. And we like where we stand as a first mover and having three, four years' of a head start before anyone came into that space.

So you look at three major product categories and franchises where we're very excited about the future and those... Now then, we're also entering what I'll call a new product cycle that's beginning here. If you think about the number of significant approvals we expect each year going forward, and first let's talk about expansion of existing products in terms of long-acting components of monoclonal antibodies, which are net incremental for us when we think about revenue and what those will drive. Just consider asking a pet owner to show up once a month, particularly as you go into more and more moderate to mild cases, then you're talking about multi years on these products. And to ask a pet owner to show up every month for an injection on a product where it's not a severe case where the dog is 14, 15 years old. We're talking about younger pets that are going to be around much longer. Then you think about what that means in terms of the potential to expand and have much more compliance, much more injections when you can have multiple injections in one. So I think that is very meaningful and incremental when we think about long-acting through that lens.

And then we have these areas like renal, with chronic kidney disease, and oncology and cardiology, which we're very excited about. And we've given more details in terms of the timeframe by when you can expect those as we've seen progression. And the size of those markets in some cases significantly increasing from just two years ago when we talked about them, particularly in renal, where now the advance... And also to some extent oncology, the advancements that have been made in terms of diagnostics to be able to identify more of the

prevalence rates. And then as you have a therapeutic, that also drives more diagnostics and drives more therapeutics. It's sort of a nice virtual cycle, where you're going to diagnose more, but you have a therapeutic that really changes the game, and therefore you'll see more treatment rates.

And as we know more about the profile of our product too, we're able to have better gauge with our customer around if this is the type of profile we have, how much more will you treat, and therefore, what's the value of that. And so that combination translated to a significant increase in terms of the sizing of these markets, and we're very, very excited about the future potential of those franchises.

Michael Riskin:

So specifically on the long-acting components, that's an area we've had a lot of debate. On the long-acting monoclonal antibodies, essentially. That's where we've had a lot of debate, and I'm really torn on how to think about this. You just specifically said you think it's going to be net incremental in terms of revenue. The example you brought up for long-acting Librela or Cytopoint makes a lot of sense because if you're going to be on it for years and years, yeah, once a month becomes a little bit challenging for people with a vet. But how do you quantify, or what are your initial thoughts around cannibalization there? Because one thing I worry about is it may be some of the shorter-term cases where, yeah, pet is only on the drug for 3, 6, 9 months. You go from once a month to once every three months, especially if there is any kind of pricing difference there, that could be pretty cannibalizing to some that short-term revenue base. So how do you weigh those, because we really don't have any precedent here to think about it.

Wetteny Joseph:

Yeah, look, we're certainly not unveiling what our pricing strategy is on these, but clearly there are lots of factors we're considering. And by the way, we're also doing a lot of market studies on this to gauge pet owners and vets in terms of where that right way to optimize that is. And so we're confident in our ability to drive and create value through this and drive the convenience and higher compliance for pet owners as well. There's plenty of room to do that and drive both of those objectives, if you will, around how we see the future here.

Again, not going to go into specifics in terms of what their pricing looks like, but I think if you think about the case of cats, I think that might be the most maybe extreme case to think about, getting a cat to the clinic every single month for a long period in terms of years. I clearly, you can see the value proposition there for a pet owner. And then the question is, how do you price it in the right way to drive that? There'll be some cannibalization, right? There'll be some that are going from a monthly injection to a multi-month injection.

Wetteny Joseph:

I mean, there'll be some that are going from a monthly injection to a multi-month injection. We believe there's always going to be a market for the monthly injection, by the way, not only because you may have a much older pet that's more severe, you're not sure how long they're going to be around, you're not going to put them on a multi-month. Then for the first time you're treating a pet, you're likely to use a one month before you put them on something that's going to be in their system for three months. We see a market for the monthly as well as a longer acting component. There'll be some cannibalization, but net-net we see significant incremental opportunity here.

Michael Riskin:

Okay. That's all reasonable. I've got about 10 minutes left. Still have a lot of ground to cover, so I'm going to sort of pick and choose some of the other questions. Maybe on the topic of innovation and new products, one thing I always think about is incremental margin contribution from newer products. I think that's a trend you've seen with Zoetis over the last 10 years is obviously where the innovation comes in, especially once volumes ramp up on Habigal, Cytopoint, Trio, Librela, you name it. Those are all really, really powerful incremental margin contribution. Especially once you consider the monoclonal antibody component, you talked about the margin differential there versus small molecule. How do you think about everything you just said in terms of long acting, in terms of future pipeline, renal, kidney oncology? How does that fit into your mindset of where margins could be for Zoetis longer term? Because it's always been sort of open-ended what your peak margin potential is, can you bridge those two?

Wetteny Joseph:

Yeah. Look, I think one of the wonderful things about this industry and our position in it is that, and this question was asked earlier, we're not forced to have to make a trade-off between continuing to sustain long-term growth and margins. We can do both because there are so many large unmet needs that are really significant for vets in their ability to treat animals and keep them healthy. We have the innovation, if you will, capability and prowess to continue to solve those and endeavor to solve them before someone else does. That translates to the ability to continue to drive margin and pricing in this business, so the direction of travel is clear.

The question is how fast and by how much? Which we have not sort of stated because we want to also make sure we continue to make the right long-term decisions around where we may see an opportunity to invest in something that's going to continue to drive what I just said, which is continue to see significant more room to do both. For that reason, we haven't necessarily put in a range of how much more, but the direction of travel is that.

There will be times too when we will build capacity to drive demand across a product or a set of products and it may take longer or some time to get to optimal utilization of that capacity. While it's a creative, how creative is a different story, how quickly you get there. I think there's some of the variables at play, but clearly between companion animal, even if you look at the 2025 guide, while I don't want to get into a ton of specificity, but we said livestock grows 2 to 4%. We're going to grow 6 to 8% and our major franchise is going to grow double digits. Well, those major franchises have arguably the most pricing power, et cetera, and so you could see that continuing to drive a momentum shift that's favorable to margins as you go as well. I think we see that opportunity to continue as we look ahead, and in the context of these pipeline areas that we're very excited about that are major unmet needs for our customers, we see that continuing as well.

Michael Riskin:

Cool. Then in terms of the various levers at your disposal, whether it's gross margin or SG&A and R&D, I mean I think you just kind of said you've got specific pockets in areas where you're going to invest in all. Again, longer term, if you think about the way you frame your long-term margin target essentially is you're going to grow EBIT and net income faster than revenues. Where do you see most of the uplift coming from? Is it gross margin or SG&A leverage?

Wetteny Joseph:

I think if you look at, not that one year completely tells the story, but I think you saw a balance between the two in the last year. I think if you look at how we've put the guidance for 2025, you can see that balance as well. Now as you move up the growth rate on the top line, it tends to favor higher leverage at SG&A, generally speaking, just because you have natural rhythm of the

P&L in terms of a certain amount of merit increases or whatever it might be that's driving that, but as you start to go up, those don't go up exponentially. There may be some variable comp that goes up based on the performance, but otherwise you have that leverage power there that can drive that. Overall, I see balance between the two, is what I would say in terms of where that leverage comes from.

Michael Riskin:

Okay. Then maybe one on the balance sheet and any optionality there. Very healthy balance sheet for years. A very cash flow generative business, even allowing you to invest a lot in capex like you did last year and still sort of generate strong free cash flow. You've also recently did the MFA transaction with Phibros that brought in a lot of the cash. Just remind us best use cases for cash and investment priorities.

Wetteny Joseph:

Yeah, Mike, look, one thing I would say, going back to your prior question and then it feeds into this one, is that if you look at the investment cycles that we've been through, we went through a pretty significant one for our field force in the US. I would say we continue to have opportunity to continue to leverage that. I would say we're still on the other side of that investment cycle. We've been through a three-year period where our R&D spend was well above our top line growth rate. Now that is not a dial that we sit here and just turn left or right. We do let the pipeline dictate, and depending on where the pipeline is, obviously it's not equal distribution of spend. If you have a lot of products that are approaching going from research to development, that increases your spend.

You can see that we now in 2025 are guiding to R&D that's in line or slightly below the revenue growth rate. I think you can see in terms of where we are on that cycle, we're more, this is not the last investment cycle we'll ever have in the company, but I think we're sort of on the other side of some. There'll still be a need to sort of invest behind new brands and products and DTC and all that, but the setup here in terms of the P&L is good for us. We do have to continue to climb up the utilization rate on some capacity we've built in terms of how much you see in that gross margin line. Otherwise, through the P&L, we see opportunity to continue to accrete in terms of the leverage position that we see in the business, and so we're very excited about what that looks like.

Again, I think we're on the other side of a number of these. From a balance sheet standpoint, we continue to generate significant cash flow. Even as you saw during investor day, we showed a 20% growth rate increase across our dividends over the period as we continue to grow our dividend, but we continue to have significant free cash flow that we're buying back our shares. Last year was a record year. We bought back \$1.9 billion of Zoetis shares, just north of 2% of our float, and so I think you can see over the last few years in the range of somewhere in that 1.3, 1.4 to 1.9 billion range is what we've done. The board approved a \$6 billion sort of buyback program just in August last year. Most of that is still in our arsenal here. Totally dependent on our free cash flow and how that flows, but gives us a lot of room to continue to exercise that. What we're doing here is really driving, maximizing long-term value creation in how we drive investments in the business, and then returning capital to investors via dividends and buybacks.

Michael Riskin:

Great. Thanks so much. With that, we're out of time. We're at the top of our hour. Whitney, I want to say thank you very much for joining us. Pleasure, as always. Everyone on the line, thanks for listening in and thanks everyone for the entire day. It was another really successful

Bank of America Animal Health Summit and my pleasure to be everyone's host. Thanks so much.

Wetteny Joseph:

Always a pleasure, Mike. Thank you.

Michael Riskin:

Yep, cheers.